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# Stablecoin compliance in 2026

Which rules apply to your business

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# Introduction

# What a stablecoin is

**A stablecoin is a form of digital asset designed to hold a steady value.**

Cryptocurrencies are volatile. The value of tokens like Bitcoin or Ether can (and often does) fluctuate drastically in short amounts of time, making them effectively useless as transactional tools. Stablecoins were created to solve that issue.

Most stablecoins are linked to a fiat reference such as the US dollar or the euro. That stability separates them from other crypto assets.

## Types of stablecoins

Not all stablecoins are the same. They differ in how they achieve stability and what type of asset they are linked to. Those differences matter for how they are regulated:

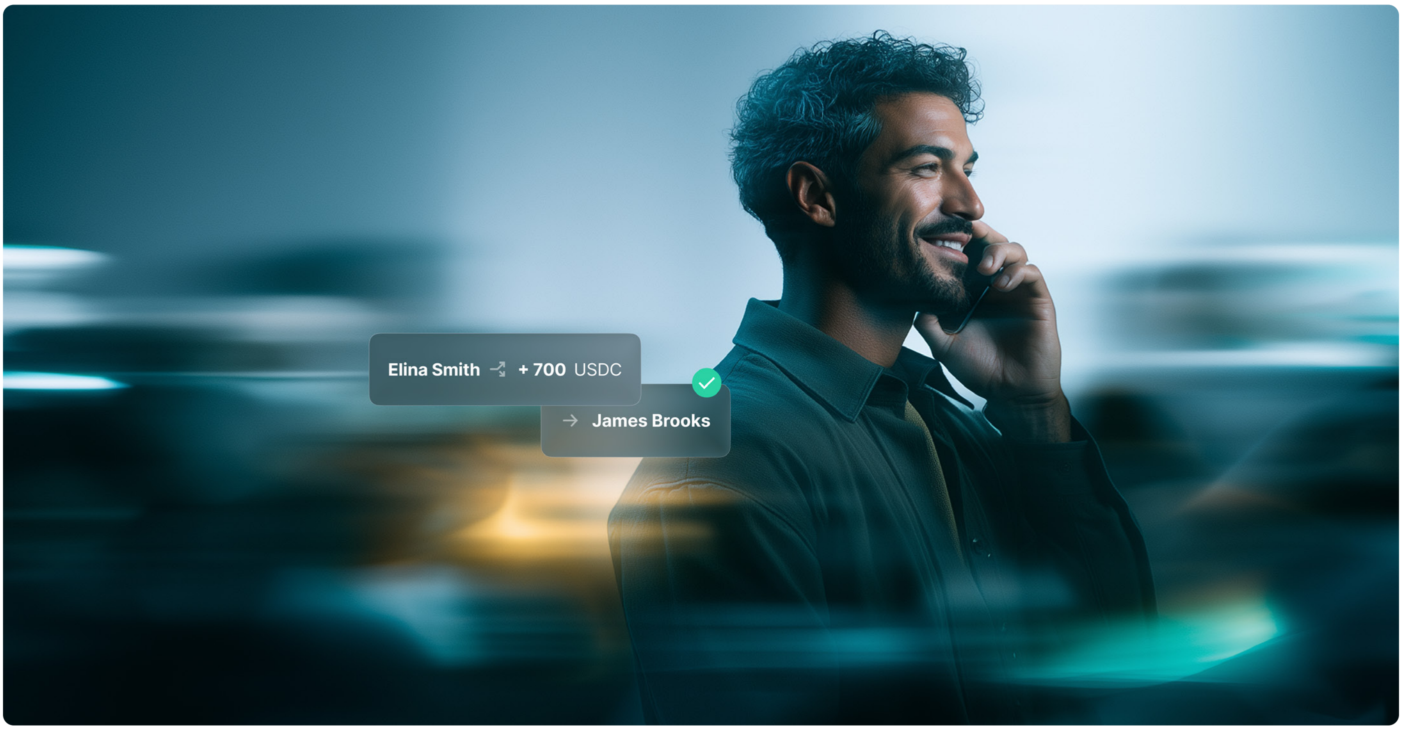
| Fiat-backed | Crypto-backed | Commodity-backed | Algorithmic |
|---|---|---|---|
| Tokens backed one-for-one by reserves held in the reference currency | Tokens backed by reserves of other crypto-assets, usually held in excess | Tokens backed by a physical asset, most often gold, with the issuer holding and auditing physical reserves | Tokens that use algorithms to continuously adjust the token supply, rather than holding reserves |
| **Examples:** USDC, USDT, PYUSD | **Examples:** DAI, USDS, WBTC | **Examples:** PAXG, XAUt | **Examples:** AMPL |

In this guide, when we say “stablecoin,” we mostly mean fiat-backed tokens. Regulators usually focus on this type, and it often comes with the strictest obligations.

# From crypto trading tool to regulated financial instrument

In their early days, stablecoins were mainly just an instrument for crypto traders to safely hold value between trades. But over time, their role shifted increasingly toward everyday utility. By transaction count, their share of crypto transfers rose from **31%** in 2024 to **36%** in 2025.

Yet despite their growth, stablecoins stayed largely unregulated for most of their history.



Between 2023 and 2026, that changed decisively:

**2023** — The Monetary Authority of Singapore (MAS) finalized its single-currency stablecoin framework, which is expected to come into full legal effect in 2026

**June 2024** — MiCA's stablecoin rules began applying across the European Union, and its transition window for existing crypto firms closed on July 1, 2026

**June 2025** — The FATF rewrote Recommendation 16—the Travel Rule that has set the anti-money laundering baseline for virtual asset transfers since 2019

VARA's virtual asset issuance rulebook took effect in Dubai

**July 2025** — The GENIUS Act was signed into US law, establishing the first federal framework for payment stablecoins

**August 2025** — Hong Kong's Stablecoins Ordinance took effect, with the first issuer licenses granted in April 2026

**June 2026** — The UK finalized its comprehensive FCA cryptoasset regime, with dedicated stablecoin rules that take full effect in October 2027

The result is that stablecoins are now regulated financial instruments in every major market. The open question is no longer **whether** stablecoin activity is regulated, but which rules apply to **your** specific activity.

And the answer is far from simple.

# The problem this guide solves

Each of these frameworks is tied to its own jurisdiction, and some even reach across borders. That alone would be enough to complicate things for anyone looking to enter the stablecoin space in 2026. But the regulations also often overlap, diverge, and use different words for similar things. And they do not apply to everyone the same way.

For example, a bank, wallet provider, payments processor, and card program may all process the same stablecoin but face entirely different regulatory obligations.

That's what this guide is here to solve.

**Vsevolod Gvardin**
Head of Digital Assets Compliance at Sumsub

"Stablecoin regulation has moved beyond the simple question of whether an activity is regulated; the greater challenge is understanding which layers of regulation apply to a particular token and the activities involving it. How a stablecoin is classified can differ across jurisdictions, while issuance, distribution, transfer, custody and use in payments may each engage different requirements. Cross-border activity adds another layer, as the same activity may be subject to different regulatory frameworks depending on the jurisdiction. The practical starting point is therefore to map the token, its activities, jurisdictions and counterparties against the relevant frameworks – and identify where requirements overlap, where they differ, and what the compliance programme needs to cover in practice."

# How to use this guide

Read the next chapter to get a general sense of the regulatory landscape across major markets.

Then go straight to the relevant section for your business under **"The rules that apply to you."** Each section is self-contained and follows the same shape—who you are, what applies to you, your obligations, the common pitfalls, and a practical readiness checklist you can use to make sure you're not missing anything.

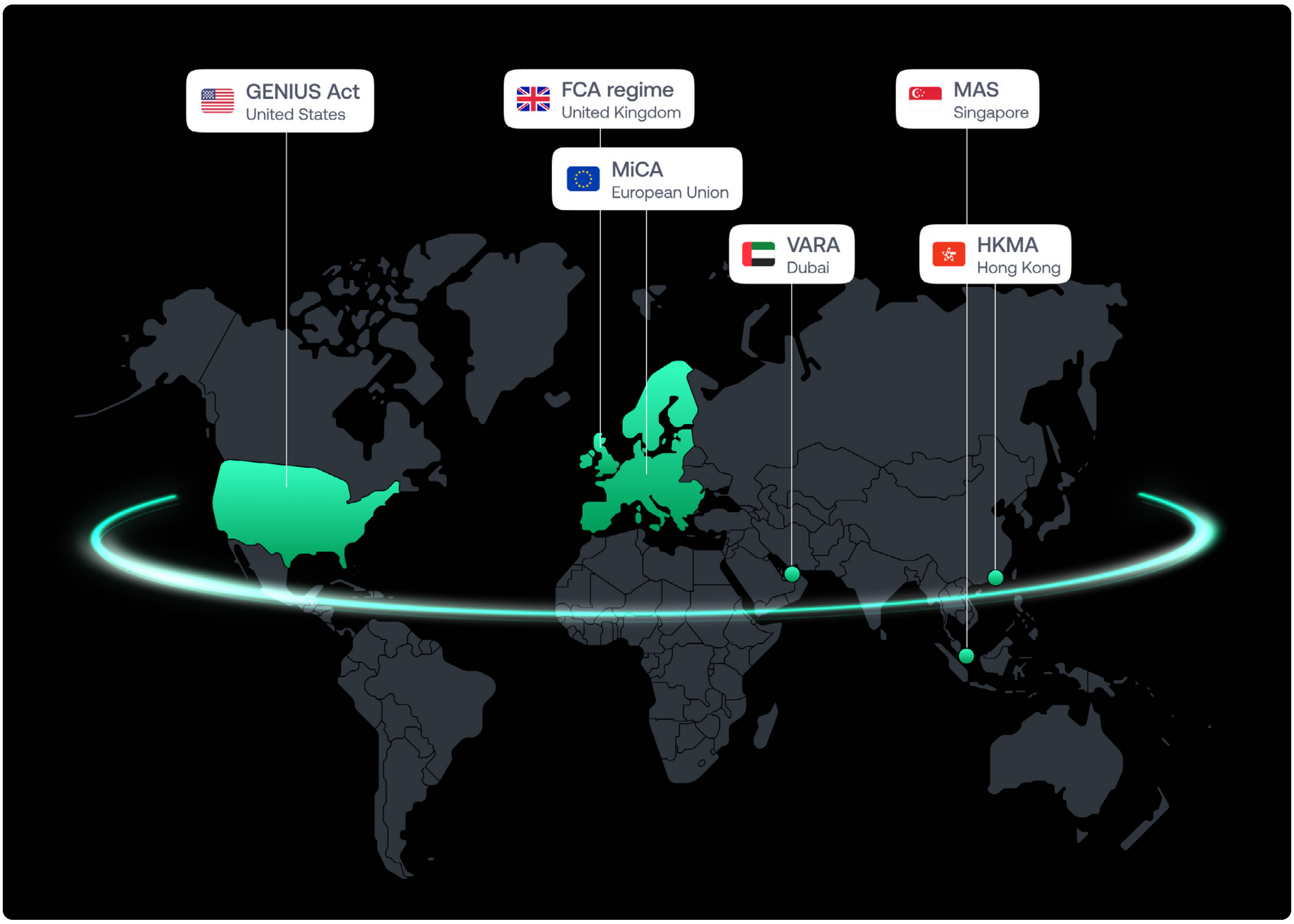
We cover six major business segments:

- Banks and traditional finance
- Stablecoin issuers
- Payments and processors
- Infrastructure and custody
- Wallets
- Card issuers

# The regulatory landscape in 2026

Seven distinct sets of rules account for most stablecoin compliance obligations across the markets this guide covers.

One of them—the FATF Travel Rule—is a global anti-money laundering standard for value transfers. The other six are jurisdiction-based, and each sets rules for stablecoins within its own market: the GENIUS Act in the United States, MiCA in the European Union, the FCA regime in the United Kingdom, and the dedicated stablecoin regimes run by MAS in Singapore, the HKMA in Hong Kong, and VARA in Dubai.



None of them works in isolation. Each functions inside a wider regulatory system that includes money-transmission rules, securities law, payments regulation, and more. Treat them as the rules most likely to shape your obligations, not as the entire rulebook.

This chapter explains each of the seven rule sets in plain terms, using the same four questions every time: what it is, who it covers, what it requires, and where it stands today. It is intended to give you a shared vocabulary. Then, when you reach the chapter dedicated to your business segment, you will already know what these rules are and can focus on how they apply to you.

One thing to keep in mind as you read: these sets of rules are not alternatives you choose between. If you operate across borders, several apply at once.

# FATF Recommendation 16, aka the Travel Rule (Global)

## What it is

The Financial Action Task Force (FATF) is the intergovernmental body that sets global standards for anti-money laundering and counter-terrorist financing (AML/CFT). Its Recommendation 16—known as the Travel Rule—has governed traditional wire transfers for decades and was extended to virtual asset transfers in 2019. FATF does not pass laws itself; its recommendations become binding through each country's own legislation, which is why the Travel Rule looks slightly different from one jurisdiction to the next.

## Who it covers

In June 2025, FATF rewrote Recommendation 16 to make the data that must accompany a transfer more consistent and to widen its purpose beyond money laundering to include fraud and proliferation financing. Jurisdictions have until the end of 2030 to implement the revisions, so national rules will differ during the transition.

Virtual asset service providers (VASPs). Broadly, these include businesses that exchange, transfer, or hold crypto-assets for customers, such as exchanges and custodians, as well as financial institutions that handle virtual asset transfers. The Travel Rule applies when a covered business sends or receives a qualifying transfer above the set threshold. Thresholds vary by jurisdiction, so the transfer size that triggers the rule depends on where you operate.

### Core obligations

- Collect required information on both the originator (sender) and the beneficiary (recipient), and verify the identity of your own customer
- If you are the sending provider, transmit that information to the receiving provider before or alongside the transfer
- If you are the receiving provider, obtain and check it before making funds available
- Keep records of the information and the transfer
- Have a risk-based policy in place for transfers with missing or incomplete information

### Status and direction

The Travel Rule is now close to a global standard. As of FATF's 2026 assessment, 83% of surveyed jurisdictions had passed legislation implementing it—up from 73% a year earlier. But adoption has outpaced enforcement: FATF's own 2026 report warns that many jurisdictions have the laws on the books without yet making them work in practice, and that criminal networks are exploiting the gaps. This is driving a shift from on-paper compliance to operational compliance: regulators are increasingly testing whether a business's controls actually work in practice, not just whether a policy exists on file. Transfers to and from unhosted wallets remain the hardest case, because there is no provider on the other side to exchange information with.

# The GENIUS Act (the US)

## What it is

The Guiding and Establishing National Innovation for US Stablecoins (GENIUS) Act was signed into law on July 18, 2025. It's the first US federal framework for payment stablecoins. It creates a dual federal-state regime and makes it unlawful for anyone other than a permitted issuer to issue a payment stablecoin in the United States.

## Who it covers

Issuers of payment stablecoins—fixed-value tokens redeemable at par, pegged to a national currency and used for payment or settlement. An issuer must qualify as a permitted payment stablecoin issuer through one of three routes: as the subsidiary of an insured bank, as a federally qualified nonbank issuer supervised by the Office of the Comptroller of the Currency (OCC), or as a state-qualified issuer under a state regime certified as substantially similar to the federal one. The Act also applies to foreign issuers seeking access to the US market, as well as the custodians that safeguard the reserves or the private keys controlling the tokens.

### Core obligations

- Back every token one-for-one with cash and short-term, low-risk assets such as Treasury bills, held in reserve and not reused.
- Publish the reserve composition every month, examined by a registered accounting firm.
- Redeem at par on demand, and pay no interest or yield to holders.
- Run a full AML and sanctions program, since stablecoin issuers are now subject to the Bank Secrecy Act.
- Avoid marketing that implies government backing, deposit insurance, or legal-tender status.

### Status and direction

The statute is in force, but the detailed rules are not yet final. The agencies charged with writing them missed the Act's one-year rulemaking deadline of July 18, 2026. The Act's provisions will take full effect once final rules are issued, and no later than January 18, 2027.

### Worth watching: the CLARITY Act

The GENIUS Act governs stablecoins specifically. A separate bill—the Digital Asset Market Clarity (CLARITY) Act—would set broader US market-structure rules, deciding whether a digital asset falls under the Securities and Exchange Commission (SEC) or the Commodity Futures Trading Commission (CFTC). As of July 2026, it has passed the House and cleared Senate committee but has not yet reached a floor vote, and its passage this year is uncertain. It would not change the stablecoin duties above, but it would reshape the wider US environment for stablecoin businesses.

# MiCA (European Union)

## What it is

The Markets in Crypto-Assets Regulation (MiCA) is the European Union’s single framework for crypto-assets, directly applicable across all 27 member states. Its stablecoin rules began applying in June 2024, and its regime for service providers in December 2024.

## Who it covers

MiCA splits stablecoins into two categories:

### E-money tokens (EMTs)

Pegged to a single fiat currency and may only be issued by an authorized credit institution or electronic money institution

### Asset-referenced tokens (ARTs)

Backed by a basket of currencies, commodities, or other assets; subject to stricter capital and governance requirements

MiCA also regulates crypto-asset service providers (CASPs)—the EU’s licensed intermediaries for custody, exchange, transfer, and trading. It applies to any business offering these tokens or services to EU clients, wherever that business is based.

### Core obligations

- Hold full, segregated, bankruptcy-remote reserves with qualifying custodians, and redeem at par.
- Publish the required white paper before offering a token.
- Pay no interest on EMTs or ARTs.
- Hold the right authorization (a CASP license granted in one member state applies across all 27).
- Meet additional prudential requirements once a token reaches significant scale.

### Status and direction

MiCA is fully live. The transition window that allowed existing crypto businesses to keep operating while they sought authorization closed on July 1, 2026. A pending application is not authorization; firms without a granted license must stop serving EU clients.

You can find the current list of authorized providers in ESMA’s register

# The FCA cryptoasset regime (United Kingdom)

## What it is

The United Kingdom is establishing a new cryptoasset regime, run by the Financial Conduct Authority (FCA). It will bring a broad range of crypto activities—including stablecoin issuance—within FSMA authorization and supervision for the first time. Until now, UK crypto firms were only registered for anti-money laundering purposes and subject to financial-promotion rules; this regime goes well beyond that. It rests on the Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026, passed by Parliament in February 2026, with the FCA's final rules published in June 2026. Stablecoins large enough to matter for financial stability—"systemic" stablecoins, as designated by HM Treasury—will move into joint regulation by the FCA and the Bank of England.

## Who it covers

Businesses carrying out regulated cryptoasset activities in the UK: stablecoin issuers, custodians, trading platforms, and intermediaries. For stablecoins, the regime centers on issuers of "qualifying stablecoins"—tokens that hold a stable value by reference to a single fiat currency—as well as the custodians that safeguard their backing assets. Multi-currency stablecoins fall outside the qualifying-stablecoin definition. Overseas firms serving UK customers are covered too, so being based outside the UK does not by itself put a business out of scope.

### Core obligations

- Hold FCA authorization before carrying out regulated activity or obtain a variation of permission where applicable; an existing anti-money laundering registration does not carry over automatically.
- Back every token fully with permitted assets—short-term deposits and short-term government debt—held separately from the issuer’s own assets on statutory trust and protected from the issuer’s own creditors.
- Redeem at par by the end of the next business day after a valid request is received, subject only to limited deferrals or suspensions for AML or token-integrity reasons.
- Pay no interest or yield from the backing assets to holders.
- Disclose key terms to holders, including their redemption and withdrawal rights, and meet Consumer Duty, governance, capital, and liquidity requirements.

### Status and direction

The rules are final, but the regime is not yet in force. Regulated cryptoasset activity—including stablecoin issuance—will require FCA authorization from October 25, 2027, giving businesses time to prepare. Businesses already operating in the UK can apply during a transitional window that opens September 30, 2026 and closes February 28, 2027; applying within it lets them keep operating while the FCA assesses their application. Some details are still being worked out: the FCA has flagged further work on stablecoins used for payments and on issuer failure and wind-down issues.

# The MAS single-currency stablecoin framework (Singapore)

## What it is

The Monetary Authority of Singapore (MAS) finalized its single-currency stablecoin (SCS) framework in 2023. Once in force, it will regulate stablecoin issuance as a distinct activity under the Payment Services Act. It is one of the more detailed stablecoin-specific regimes anywhere.

## Who it covers

Issuers of single-currency stablecoins pegged to the Singapore dollar or a G10 currency (such as the US dollar, euro, or yen) and issued in Singapore. Only issuers that meet every requirement may label their token a “MAS-regulated stablecoin”—a mark meant to set them apart from other digital payment tokens. Stablecoins pegged to other assets, or issued elsewhere, stay under Singapore’s separate digital payment token rules.

### Core obligations

- Hold reserves of at least 100% of the token's value in high-quality liquid assets, kept segregated from the issuer's own funds.
- Publish monthly independent attestations of those reserves and undergo an annual audit.
- Meet minimum base-capital and liquidity requirements.
- Redeem at par within five business days of a request.
- Disclose the value-stabilization mechanism and holder rights in a white paper.

### Status and direction

While MAS finalized the framework's features in 2023, it still hasn't taken full legal effect. That is expected in 2026, as the enabling legislation comes into force. Early movers are already preparing under Singapore's existing licensing regime.

# The Hong Kong Stablecoins Ordinance (HKMA)

## What it is

Hong Kong's Stablecoins Ordinance took effect on August 1, 2025, creating a dedicated licensing regime for stablecoin issuers overseen by the Hong Kong Monetary Authority (HKMA). It is deliberately bank-grade.

## Who it covers

Issuers of fiat-referenced stablecoins. A license is required to issue one in Hong Kong, and, notably, to issue any stablecoin pegged to the Hong Kong dollar anywhere in the world. Only licensed issuers' stablecoins may be offered to the retail public in Hong Kong, and advertising an unlicensed one is an offense.

Note: the Ordinance covers the issuance and distribution of fiat-referenced stablecoins only. Other virtual asset activity—like running a trading platform or providing custody—sits under Hong Kong's Securities and Futures Commission (SFC), not the HKMA. If you serve Hong Kong users, confirm which regime your specific activity falls under.

### Core obligations

- Hold a minimum of HK$25 million in paid-up capital, or an approved equivalent.
- Back each stablecoin fully with high-quality liquid reserves, segregated and independently attested.
- Redeem at par within one business day, without onerous conditions and with fees disclosed up front.
- Pay no interest or other return to stablecoin holders.
- Pass fit-and-proper checks on controllers and directors, and maintain governance, risk, technology, and AML/CFT controls.

### Status and direction

The HKMA received 36 applications by its September 2025 deadline and granted the first two licenses in April 2026. The regulator has said plainly that it will license only a handful of issuers at first. Penalties for unlicensed issuance are serious, reaching fines of up to HK$5 million and imprisonment of up to seven years.

# VARA and the UAE virtual asset regime (Dubai)

### What it is

Dubai's Virtual Assets Regulatory Authority (VARA) regulates virtual assets across Dubai's mainland a nd free zones, except within the Dubai International Financial Center (DIFC), which falls under the jurisdiction of the Dubai Financial Services Authority (DFSA). VARA's Virtual Asset Issuance Rulebook, in force since June 2025, sets dedicated rules for stablecoin issuance.

### Who it covers

VARA's issuance rules apply to stablecoins issued in Dubai (mainland and free zones, outside the DIFC). It sorts them into two categories:

(FRVAs)
Fiat-referenced virtual assets

Stablecoins pegged to a fiat currency

(ARVAs)
Asset-referenced virtual assets

Tokens backed by real-world assets such as commodities or real estate

One important thing to keep in mind: stablecoins pegged to the UAE dirham fall under the **Central Bank of the UAE (CBUAE)**, not VARA—so VARA's stablecoin rules cover non-dirham pegs.

## Core obligations

- Obtain prior approval from VARA for the issuance of any FRVA within its jurisdiction, in line with the Virtual Asset Issuance Rulebook.
- Maintain own funds, capital and net liquid asset levels that meet VARA's prudential requirements for FRVA issuers, taking into account any "significant" token thresholds and group-wide risk.
- Back the token on a 1:1 basis with high-quality, liquid reserve assets, held in segregated accounts, subject to daily reconciliation and independent, frequent attestations to confirm that outstanding tokens are fully covered.
- Provide holders with a right of redemption at par value in the referenced fiat currency, within the timeframes and operational standards set by VARA, and disclose any fees or conditions clearly.
- Ensure that the token does not pay interest or any yield linked to the holding period, so that it functions as a payment and settlement instrument rather than a deposit or investment product.
- Publish a VARA-compliant white paper and comply with VARA's rulebooks on compliance, risk management, technology and information security, governance, disclosures, and market conduct, including restrictions on marketing to retail users.

### Status and direction

VARA has completed its core rulebooks and is stepping up enforcement against unlicensed virtual asset activity, including unapproved FRVA issuance and marketing. Algorithmic stablecoins and other unbacked models are prohibited, and VARA-regulated FRVAs are confined to the virtual asset ecosystem—they are not a general means of payment under UAE payment token rules. The key practical challenge for operators is navigating the UAE's multi-regulator structure: depending on your activities, you may be supervised by VARA, the Central Bank (for payment tokens and licensed financial institutions), ADGM, or other free-zone regulators, and more than one regime can apply at the same time.

# The rules that apply to you

The regulatory landscape chapter gave you an overview of the seven main frameworks and where they apply. This chapter translates them into concrete obligations for specific types of businesses.

Each section follows the same structure: who you are, which frameworks and obligations apply to you, the common pitfalls we see in practice, and a readiness checklist you can use to test whether your controls are keeping pace with regulatory expectations.

The chapters are self-contained. Start with the archetype that matches your business and then branch out to the others as needed.

Remember that these rules do not cancel each other out. In fact, they stack. A euro-denominated stablecoin issued in the EEA may at the same time be an EMT under MiCA, subject to FATF Travel Rule obligations, and caught by US, Singapore or UAE rules when offered cross-border. If you operate across borders, expect several rule sets to apply at once and design your compliance framework to meet the strictest applicable standard rather than the lowest common denominator.

**Andrew Novoselsky**
Chief Product Officer
at Sumsub

“Unlike most crypto assets, stablecoins already work in the financial sector today and solve real problems beyond speculation. For the first time, traditional fiat rails are connected to stablecoin rails that are regulated, with their own rules that have to be followed.

The moment you use stablecoins to move value or reach the unbanked, you inherit banking-grade obligations in both the fiat and crypto worlds: sanctions screening, the Travel Rule on every qualifying transfer, and on-chain risk monitoring. That’s a genuinely new situation.

And it’s exactly why running these checks in one place, with full visibility and clear reporting, matters more than ever. There are many challenges to solve here, but there’s also a lot to gain: faster, cheaper, and more efficient movement of money. All that’s left is to make compliance just as efficient.”

# Banks and traditional finance

## Who you are

Banks, credit unions, and other traditional financial institutions adding stablecoin activity to an existing business: enabling customers to send and receive fiat-backed stablecoins, offering stablecoin settlement to corporate clients, or integrating stablecoins into treasury and liquidity management, for example. You already run a mature compliance program for fiat. The task now is to extend that program to cover on-chain activity.

## What applies to you

Your existing prudential, conduct and AML/CFT obligations continue to apply to stablecoin-related services. What is new is the on-chain layer and, in some jurisdictions, specific stablecoin legislation:

- FATF's Standards on virtual assets and VASPs require you to treat qualifying virtual asset transfers functionally like wire transfers, applying the Travel Rule (Recommendation 16)—obtaining, holding and securely transmitting originator and beneficiary information, and integrating these data into your monitoring.
- In the EU, if you issue or distribute EMTs or ARTs, MiCA's Titles III and IV impose authorization, reserve, redemption, governance and disclosure requirements on top of your existing banking or e-money license.
- In the US, transmitting stablecoins on behalf of customers can trigger Bank Secrecy Act obligations and state money-transmission rules, and GENIUS Act "payment stablecoin" requirements may apply if you act as a permitted issuer or provide safekeeping or reserve-management services.
- If you issue or custody stablecoins, the obligations in the **Stablecoin issuers** and **Infrastructure and custody** sections may also apply.

The good news is that adding stablecoin activity extends your existing compliance program rather than replacing it. When a fiat customer starts using stablecoins, you can reuse the identity you've already verified instead of onboarding them from scratch. The industry is shifting toward reusable identity, and banks adding stablecoin rails stand to gain the most, since the verified customer is already in your system.

### Your obligation

- Extend customer due diligence, ongoing monitoring and sanctions control to cover stablecoin activity, including on-chain exposures and counterparties, not just fiat accounts.
- Implement Travel Rule compliance across virtual asset transfers that you initiate or receive on behalf of customers. Have clear policies in place for identifying licensed VASPs, unregulated providers and self-hosted wallets, and risk-based fallback procedures where counterparties cannot receive Travel Rule data.
- Integrate on-chain risk signals that fiat monitoring does not capture—wallet clustering, exposure to mixers and tumblers, DeFi protocols, sanctioned addresses and typologies for layering and cash-out—into your transaction-monitoring and screening frameworks.
- Maintain records and an audit trail that link fiat and on-chain activity, so supervisors can follow the full path of funds across both environments and test your control effectiveness.

## Common pitfalls

- Treating stablecoin compliance as a separate, bolted-on program. This often leads to inconsistent customer risk assessments and gaps between fiat and on-chain monitoring.
- Onboarding a customer for fiat services without reassessing their risk profile when they start transacting in stablecoins, especially when those transfers involve higher-risk jurisdictions, counterparties or protocols.
- Assuming blockchain transactions are anonymous or perfectly transparent. In reality, attribution is probabilistic and requires specialist tooling, and misunderstanding this can result in both over-and under-control.
- Losing sight of the counterparty: a transfer to a licensed, MiCA-compliant EMT issuer or a GENIUS-permitted payment stablecoin issuer carries a different risk profile from a transfer to an unregulated offshore platform.
- Assuming that an existing banking or payment license automatically covers stablecoin issuance or custody, under MiCA, GENIUS and VARA, issuing or safekeeping regulated stablecoins generally requires additional authorization and specific reserve, governance and disclosure arrangements.

# Banks and traditional finance readiness checklist

| | | |
|---|---|---|
| **Governance and scope** | Stablecoin activity is explicitly covered by your AML/CFT policy | ☐ |
| | A named owner—typically the money laundering reporting officer (MLRO)—is accountable for on-chain as well as fiat risk | ☐ |
| **Customer due diligence** | KYC and risk scoring are reassessed when a customer begins stablecoin activity | ☐ |
| | Sanctions screening extends to stablecoin counterparties and wallet addresses | ☐ |
| | PEP (politically exposed person) screening covers your stablecoin customers | ☐ |
| **Travel Rule** | Originator and beneficiary information travels with every qualifying virtual asset transfer | ☐ |
| | You can identify the counterparty provider before releasing a transfer | ☐ |
| **On-chain monitoring** | Sanctioned-address screening and broader wallet-exposure checks run alongside your fiat transaction monitoring | ☐ |
| | AML-related decisions and alerts are logged with a retrievable audit trail across fiat and on-chain activity | ☐ |
| **Issuance, if applicable** | If you issue a stablecoin, you hold the right authorization for each market you serve. See the Stablecoin issuers section and its checklist. | ☐ |
| **Custody, if applicable** | If you hold stablecoins or reserve assets for others, custody obligations apply. See the Infrastructure and custody section and its checklist. | ☐ |

# Stablecoin issuers

### Who you are

You issue a stablecoin. You mint and redeem the token, maintain or control the reserve assets that support it, and are the entity regulators will generally treat as responsible for the token's design, backing, disclosures, governance, and redemption model.

### What applies to you

Issuance carries the heaviest obligations under every major regime because the issuer sits at the center of the token's legal and economic integrity. Which exact framework applies depends on where the token is issued, what it references, and where it is offered or marketed.

→ In the United States, a token promoted and structured as a payment stablecoin must be assessed against the federal and state issuer frameworks, including the GENIUS Act and applicable state licensing regimes.

→ In the EU, a single-currency fiat-backed token will usually be analyzed as an e-money token, while basket-referenced or non-fiat reference models are more likely to fall within the asset-referenced token regime.

→ In Singapore, the dedicated stablecoin framework applies to single-currency stablecoins pegged to the Singapore dollar or a G10 currency and issued in Singapore.

→ In Hong Kong, the Stablecoins Ordinance applies to issuers of specified stablecoins, including fiat-referenced stablecoins issued in Hong Kong and stablecoins referencing Hong Kong dollars even where the issuance takes place outside Hong Kong, bringing those issuers within the HKMA's licensing and prudential framework.

- In the UK, issuing a qualifying stablecoin will require FCA authorization under the new cryptoasset regime once it takes effect in October 2027.
- In Dubai, fiat-referenced token issuance is subject to VARA approval, except where the relevant product falls within the UAE Central Bank's payment token perimeter.
- On top of the issuer regime, the FATF Travel Rule applies to any transfers you send and receive.

## Your obligation

- While wording differs by regime, the core obligations run through all of them.
- Back every token in full with high-quality, liquid reserves, held separately from your own funds.
- Publish reliable reserve information or attestations on a fixed schedule, examined by an independent party.
- Redeem at par in accordance with the timing and operational conditions of the applicable regime.
- Hold the required license before you issue, and meet minimum capital or own-fund requirements.
- Run a full AML and sanctions program.

Pay no interest or yield to holders where the regime prohibits it.

## Common pitfalls

- Assuming one authorization applies everywhere—it does not, and pegging to certain currencies pulls you into a specific regime wherever you are based.
- Treating reserve attestation as a reporting afterthought rather than an ongoing operational discipline.
- Underestimating redemption mechanics—being unable to meet redemption at par, on time, is both a market risk and a compliance failure.
- Designing the token without considering compliance obligations, then finding the design fits no regime (for example, an algorithmic or interest-bearing model that most regimes restrict).

# Stablecoin issuers readiness checklist

| | | |
|---|---|---|
| **Authorization and structure** | You have identified every regime your token triggers, by place of issuance and peg currency | ☐ |
| | You hold the required authorization in each market before issuing | ☐ |
| | You meet minimum capital and liquidity requirements for each applicable regime | ☐ |
| **Reserves** | Reserves equal at least 100% of tokens in circulation, in high-quality liquid assets | ☐ |
| | Reserves are held in segregated custody, according to the requirements of applicable regimes | ☐ |
| | Independent attestations are published on the required schedule | ☐ |
| **Redemption** | Holders can redeem at par, within the timeframe each regime requires | ☐ |
| | Redemption terms, fees, and timing are disclosed clearly | ☐ |
| **Financial crime** | A full AML/CFT and sanctions program is in place, with a named MLRO | ☐ |
| | The Travel Rule is applied to transfers you send and receive | ☐ |
| | Transactions and AML decisions are recorded and retained, with an audit trail regulators can follow | ☐ |
| **Product design** | The token pays no interest where the applicable regime prohibits it | ☐ |
| | The token design avoids features most regimes restrict, such as algorithmic backing | ☐ |

# Payments and processors

### Who you are

You move value for others using stablecoins—processing payments, settling transactions, powering remittances or merchant payouts, or routing funds across borders. You don't issue tokens or hold them long-term; they just pass through your rails.

### What applies to you

Your main challenge is multiplication: the more corridors and jurisdictions you touch, the more rules stack up at once.

- → The FATF Travel Rule is your baseline. Every qualifying transfer between providers must carry originator and beneficiary information, and each corridor may implement the rule slightly differently.
- → In the EU, if you provide custody, exchange, transfer, or execution services, you likely need authorization as a crypto-asset service provider (CASP) under MiCA. Once granted, this is valid across all 27 member states.
- → In the US, moving stablecoins can trigger money-transmission and money services business (MSB) obligations; if a payment stablecoin is involved, the GENIUS Act applies as well.
- → Local licensing may apply wherever you settle.

## Your obligation

- Apply the Travel Rule on every qualifying transfer, in both directions, and be able to exchange that data with counterparties whose systems differ.
- Identify the provider on the other end of each transfer and assess its risk before releasing funds.
- Hold the right authorization in each market you operate in.
- Monitor transactions for sanctions and financial-crime risk, on an ongoing basis and across every corridor.

## Common pitfalls

- Assuming a home-market license covers cross-border activity, when each jurisdiction you settle into may license you separately.
- Building Travel Rule compliance for one protocol, then finding that counterparties use others that do not interoperate.
- Letting a transfer through when the counterparty's information is missing or incomplete, instead of applying your risk-based policy.
- Treating each corridor as a copy of the last, when thresholds, formats, and local rules differ.

# Payments and processors readiness checklist

| | | |
|---|---|---|
| **Licensing and scope** | You have mapped every jurisdiction you move value into, and the license each requires | ☐ |
| | You hold the right authorization in each—CASP in the EU, money-transmission or MSB registration where required i n the US, local licenses elsewhere | ☐ |
| **Travel Rule** | Originator and beneficiary data travels with every qualifying transfer, in both directions | ☐ |
| | You can exchange data with counterparties using different Travel Rule protocols | ☐ |
| | Transfers with missing or incomplete counterparty information are handled under a risk-based policy, not let through unchecked | ☐ |
| **Counterparty risk** | Each counterparty provider is identified and risk-assessed before funds move | ☐ |
| **Monitoring** | Ongoing transaction monitoring and sanctions screening cover every corridor | ☐ |
| | Alerts and decisions are logged with a retrievable audit trail across every corridor | ☐ |

# Infrastructure and custody

### Who you are

You provide the infrastructure other businesses build on: custody of stablecoins or their reserves, key management, bridges between blockchains, tokenization platforms, or settlement rails. Your obligations are often indirect and triggered by the services you provide to others.

### What applies to you

Regulators increasingly treat infrastructure as a regulated activity in its own right, not a neutral utility.

- Custody is explicitly a regulated service under MiCA and is addressed directly under the GENIUS Act, which sets rules for custodians of reserves and keys. Custody will also be regulated under the UK's FCA regime starting October 2027.
- If you custody or move tokens, the FATF Travel Rule may apply to you as a virtual asset service provider (VASP).
- If you hold reserves for an issuer, that issuer's regulatory obligations apply to you indirectly Bridges and tokenization sit in a fast-moving area where regulatory scope is still taking shape

## Your obligation

- Meet the custody standards the relevant regime sets If you act as a VASP, apply the Travel Rule to the transfers you handle.
- If you hold reserves for an issuer, your controls must meet that issuer's regulatory standard, including independent attestation.
- Maintain the security, governance, and audit controls regulators expect of critical infrastructure.

## Common pitfalls

- Assuming infrastructure is out of scope because there is no direct customer relationship.
- Not knowing whether you are classified as a VASP in a given market, and missing the obligations that follow from that status.
- Holding reserves without meeting the segregation and attestation standards the issuer's regulatory regime demands.
- Treating bridges and tokenized assets as unregulated because the rules are new—scope is still taking shape and should be monitored closely.

# Infrastructure and custody readiness checklist

| | | |
|---|---|---|
| **Classification** | You know whether you are a VASP or not in each market you serve | ☐ |
| | The obligations that follow from that classification are clearly mapped | ☐ |
| **Custody controls** | Client assets are segregated and independently verifiable | ☐ |
| | Key management meets the security standard the relevant regime requires | ☐ |
| | Records clearly establish ownership and can be produced for audit | ☐ |
| **Supporting issuers** | If you hold reserves, your controls meet the issuer's regime for segregation and attestation | ☐ |
| **Transfers** | Where you act as a VASP, the Travel Rule is applied to the transfers you handle | ☐ |
| | Where you handle transfers, sanctioned-address and walletexposure screening is applied | ☐ |
| **Emerging scope** | Bridge and tokenization activity is regularly reviewed against current rules, which are still taking shape | ☐ |

# Wallets

## Who you are

You provide software or a service that lets people hold and move stablecoins and other virtual assets. This is one of the easiest segments to get wrong, because a single question decides most of your obligations: is your wallet custodial or non-custodial?

## What applies to you

The dividing line is control of wallet keys.

→ A **custodial wallet** holds the customer's keys, and therefore controls their funds. This almost always makes you a regulated entity—typically a virtual asset service provider (VASP), and often a crypto-asset service provider (CASP) under MiCA in the EU. The FATF Travel Rule applies to the transfers you handle, and full customer due diligence obligations follow.

→ A **non-custodial wallet** (also called unhosted or self-hosted) gives the customer sole control of their keys. Much of the regulation written for intermediaries does not apply, because you are not one. But you are not simply out of scope: transfers to and from unhosted wallets are the hardest case under the Travel Rule, and regulated counterparties must apply extra checks when they interact with you.

The line is not always clean. Some models are hybrid, or "semi-custodial." For example, control over the keys might be shared or split rather than held by one party. That is where classification gets contested and can vary by market. If your model sits between the two, settling your classification comes first.

### Your obligation

- If custodial: verify your customers, screen for sanctions, and apply the Travel Rule to transfers—your obligations resemble those of any VASP.
- If custodial: hold the right authorization, for example CASP authorization to serve EU users.
- If non-custodial: understand that regulated counterparties will apply enhanced checks to transfers involving your users, and design for that reality.
- Whatever your model: be able to state clearly, and defend, which side of the custodial line you fall on.

### Common pitfalls

- Assuming “non-custodial” is a blanket exemption.
- Assuming a hybrid or ‘semi-custodial’ model keeps you non-custodial, when it may not.
- Running lighter due diligence than an exchange despite holding customer funds the same way.
- Not preparing for the unhosted-wallet checks that counterparties are required to run.

# Wallets readiness checklist

| | | |
|---|---|---|
| **Classification first** | You have determined, and can defend, whether your wallet is custodial or non-custodial | ☐ |
| | Any hybrid feature has been checked against the definition of custody in each market you serve | ☐ |
| **If custodial** | Customer due diligence, sanctions screening, and ongoing transaction monitoring are in place, at the standard expected of a VASP | ☐ |
| | You hold the required authorization for each market | ☐ |
| | The Travel Rule is applied to the transfers you handle | ☐ |
| | AML decisions and alerts are logged with a retrievable audit trail | ☐ |
| **If non-custodial** | You understand the enhanced checks counterparties must apply to transfers involving your users | ☐ |
| | Your product design accounts for those checks, so legitimate transfers are not blocked unnecessarily | ☐ |
| **Ongoing** | You track how the custodial line is evolving in your markets, since the definitions are still being shaped | ☐ |

# Card issuers

## Who you are

You offer a physical or virtual card that lets users spend stablecoins, or that settles in stablecoins behind the scenes.

## What applies to you

Card issuers carry a double set of obligations: the crypto regulations in this guide, and the card-scheme and payments rules that govern every card program.

- The crypto-side rules apply to the stablecoin activity behind the card: the FATF Travel Rule on qualifying transfers, and the relevant issuer or service-provider regime depending on your role (for example, MiCA's CASP rules in the EU, or money-transmission and GENIUS Act obligations in the US).
- On top of that, every issuing market layers its own card-scheme rules, payments regulation, and KYC/AML requirements—the same obligations that apply to any card program, in each country where you issue.

Your compliance obligations grow with every issuing market, because you meet both rulebooks in each one

## Your obligation

- Meet standard card-program requirements in every issuing market: KYC at onboarding, sanctions screening, and card-scheme rules.
- Apply the crypto-side rules to the stablecoin rails—the Travel Rule on transfers, and the applicable issuer or service-provider regime.
- Reconcile the two: a single customer's activity has to satisfy both card-scheme and crypto obligations at once.
- Monitor the point where stablecoins convert to fiat (or back)—the on/off-ramp between crypto and the banking system.

## Common pitfalls

- Treating a stablecoin card as just another card program and missing the crypto-side obligations behind it.
- The reverse: focusing on the crypto rules and underestimating the card-scheme and local payments requirements in each issuing market.
- Not accounting for how obligations multiply across issuing markets.
- Leaving the conversion point between fiat and stablecoin under-monitored.

# Card issuers readiness checklist

| | | |
|---|---|---|
| **Card-program basics, per issuing market** | KYC at onboarding, sanctions and PEP screening, and card-scheme rules are met in each market | ☐ |
| | You hold the licenses each issuing market requires | ☐ |
| **Crypto-side rules** | The Travel Rule is applied to qualifying stablecoin transfers | ☐ |
| | The applicable issuer or service-provider regime (for example, CASP in the EU) is satisfied for your role | ☐ |
| | Transaction monitoring and sanctioned-address screening cover the stablecoin activity behind the card | ☐ |
| **Reconciling the two** | A single customer’s activity is checked against both card-scheme and crypto obligations | ☐ |
| | The fiat–stablecoin conversion point is monitored and reported on | ☐ |
| **Scaling** | Each new issuing market is assessed against both rulebooks before launch | ☐ |
| | Records and an audit trail cover activity across every issuing market | ☐ |

# Running stablecoin compliance in the real world

The pattern is clear: your specific obligations depend on what you do and where you do it.

But knowing your obligations is one thing. Meeting all of them at once, in live operating conditions, without slowing your business to a crawl, is another. Here are some of the challenges you can expect, regardless of the segment you operate in:

Challenge 1

**Fiat and crypto systems that don't line up.** The same person is often a customer on both your fiat and crypto sides. Regulators expect a single, coherent view of that customer's risk, but fiat and on-chain systems are usually built separately. When they do not line up, you get duplicate onboarding, gaps between systems, and a risk picture that is only ever half complete.

Challenge 2

**Travel Rule protocols that do not talk to each other.** The Travel Rule requires you to send customer information to the provider on the other side of a transfer. But there is no single universal messaging standard. At volume, across many counterparties, that fragmentation becomes a daily operational burden.

Challenge 3

**Rules that shift from corridor to corridor.** Similar activities can trigger different obligations in different markets—different thresholds, data formats, licenses, and even different definitions of the same term. The more corridors you operate across, the more these differences stack, and the harder it becomes to run one consistent process.

Challenge 4

**Checks that have to keep pace with transactions.** Sanctions screening and Travel Rule checks often have to resolve before a transfer is released. Stablecoins settle quickly, and your controls have to keep up without slowing everything down.

These obligations often compound. A single stablecoin payment can involve several of them at once.

The goal, then, is not simply to be compliant on paper. It is to meet every obligation that applies to you, at the same time, under real conditions.

# How Sumsub helps

Sumsub is an AI-powered trust infrastructure for compliance operations at scale. Whether you're expanding your existing compliance stack or consolidating fiat and on-chain rails in one platform, here is how we help you solve the operational challenges from the previous chapter.

## Solutions

KYC | KYB | AML Transaction Monitoring | Fraud Prevention | Travel Rule

| | | | |
|---|---|---|---|
| AML Screening | Transaction Monitoring | Device Intelligence | Fraud Network Detection |
| Payment Ownership Verification | ID Verification | PoA | Liveness & Deepfake Detection |
| Travel Rule | KYB | Crypto Monitoring | Sumsub ID |
| Reusable KYC | Non-Doc Verification | Unhosted Wallet Verification | UBO Verification |

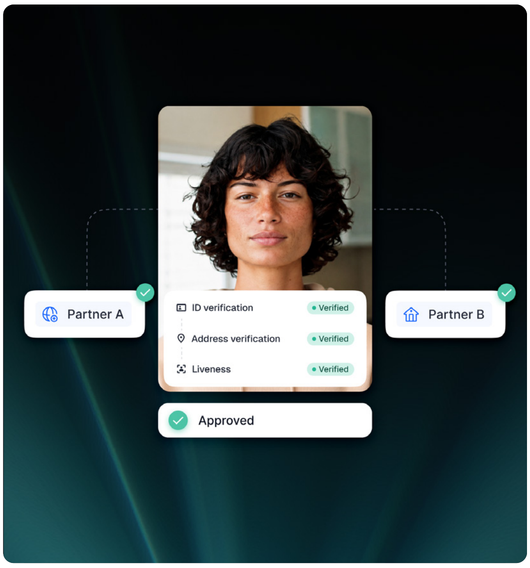
## Operational Layer

| | | | |
|---|---|---|---|
| Case Management | Workflow Builder | Summy AI Copilot | Rule Engine |
| Analytics | FIU Reports | Risk Scoring | |

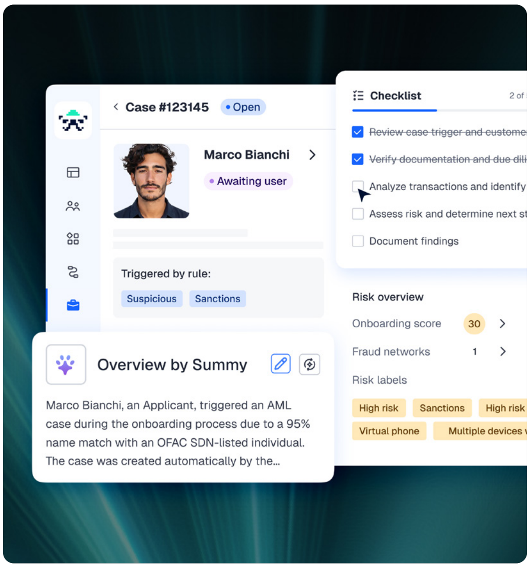
## Integrations

Chainalysis, Fireblocks, code_, WalletConnect, reown, Crystal Intelligence, SYGNA, MERKLE SCIENCE, Global Travel Rule, TRM, ELLIPTIC, COMPLY ADVANTAGE, auth0, okta, HubSpot

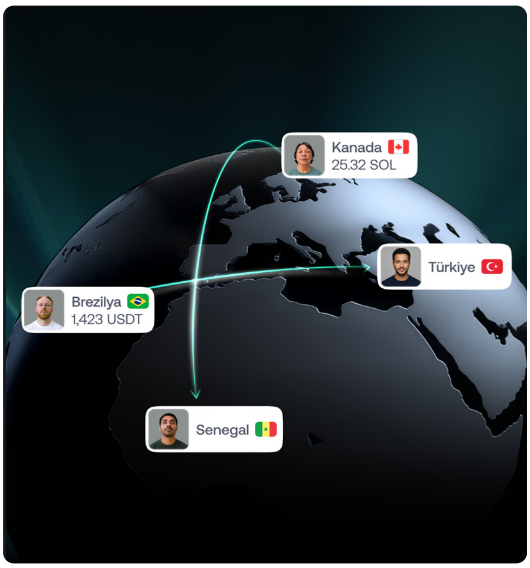
**One identity, across both rails.**
The same verified profile, risk score, and case file cover a customer’s fiat account and their stablecoin wallet. With Reusable KYC, when a customer you already know moves onto the crypto side, there is no second onboarding or verification flow to build, and no separate risk picture to reconcile.



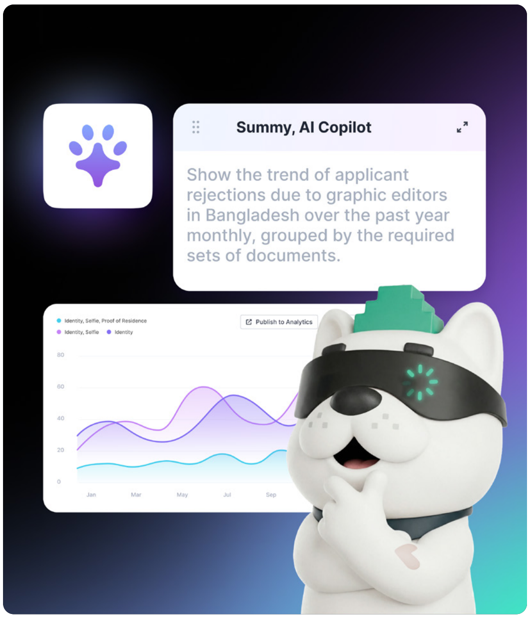

**Ready for every regulator in this guide.**
A single case file maps to the reporting each regime expects. As you add corridors, you are configuring one system to meet new rules rather than standing up a new process for each market.



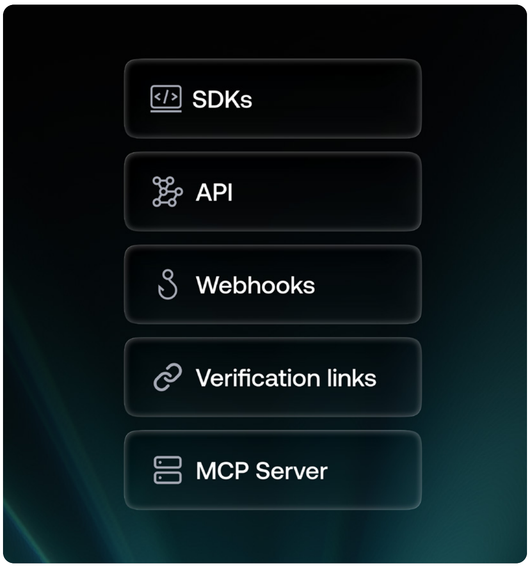

**Built for the Travel Rule.**
Identifying the provider on the other side of a transfer is only possible if you know who they are. Sumsub maintains one of the largest counterparty directories available—more than **2,100 virtual asset service providers**, including exchanges, custodians, and wallet providers.



**AI that cuts the manual work.**
When a new corridor brings new rules, describe them in plain language or upload your policy itself, and Summy AI Copilot drafts launch-ready verification flows, a risk scoring matrix, risk scenarios, and AML settings for your team to review. It also works across your verification, monitoring, and case data to build tailored analytics, surface trends, and flag anomalies.




**Works with the stack you already have.**
Sumsub runs alongside the KYC and AML vendors you already use, or consolidates those functions onto one platform if you would rather simplify. It connects to core banking and existing systems through API and webhooks, so adopting it does not mean replacing what already works.




**Enterprise-grade by default.**
For regulated institutions, the controls around the controls matter. Sumsub is SOC 2 Type 2 certified, offers configurable data residency and on-premises or private-cloud deployment, supports role-based access, and keeps a full audit trail on every decision.

# Proven at scale

The approach is not theoretical. Sumsub secured more than US$10 trillion in crypto transactions by volume in 2025, covers more than 220 jurisdictions, and is rated a G2 Top Pick by its users, with a Net Promoter Score (NPS) of 70.

# See it on your own stack

Stablecoin compliance is no longer optional, and the rules will keep evolving.

If you would like to see how Sumsub would handle your specific mix of obligations—your segments, your corridors, and your existing stack—book a demo. We will walk through your case, not a generic one.

Book a demo →